

QUESTION 2 (8 Marks)

Match List I to List II by writing the letter of the correct answer in List II against the item number of List I.

List I

- A. Safety stock kept on hand to protect against stock-outs caused by delayed deliveries or increased demand
- B. The level of stock above which inventory level should not exceed under normal conditions
- C. The level of stock at which actions to replenish inventory should occur under normal conditions
- D. At end of review period, order up to Max if below Min
- E. At end of review period, ALWAYS order up to Max
- F. Max stock level if fall below Min, order up to Max
- G. If you reach EOP at any point in review period, order up to Max
- H. The time scheduled for reviewing stock levels
- I. Min stock level
- J. Forced ordering

List II

- 1. Minimum stock level
- 2. Safety stock level
- 3. Maximum stock level
- 4. End of review period
- 5. Review period
- 6. Forced ordering
- 7. EOP/Action point

QUESTION 2 – MATCHING SOLUTION (8 Marks)

List I	Description	Correct List II Number	List II Term

A	Safety stock kept on hand to protect against stock-outs caused by delayed deliveries or increased demand	2	Safety stock level
B	The level of stock above which inventory level should not exceed under normal conditions	3	Maximum stock level
C	The level of stock at which actions to replenish inventory should occur under normal conditions	7	EOP / Action point
D	At end of review period, order up to Max if below Min	4	End of review period
E	At end of review period, ALWAYS order up to Max	6	Forced ordering
F	Max stock level if fall below Min, order up to Max	3	Maximum stock level
G	If you reach EOP at any point in review period, order up to Max	7	EOP / Action point
H	The time scheduled for reviewing stock levels	5	Review period
I	Min stock level	1	Minimum stock level
J	Forced ordering	6	Forced ordering

QUESTION 3 (No marks specified)

The parties to the contract in procurement automatically have no right to terminate the contract. Explain this statement briefly.

Explanation (brief):

The statement means that **once a procurement contract is signed, neither party can end (terminate) the contract simply by choice**. Termination is **not automatic** and **cannot be done arbitrarily**.

A contract can only be terminated when:

- **Conditions for termination are clearly stated in the contract**, or
- **One party breaches the contract**, such as failure to deliver, poor performance, or non-payment, or
- **Termination is allowed by procurement laws or regulations** (e.g. public interest, force majeure).

Therefore, **both parties are legally bound to perform their obligations until the contract expires or lawful grounds for termination arise**, otherwise termination may lead to **legal and financial penalties**.

QUESTION 4 (9 Marks)

a. List any three (3) reasons each for monitoring logistics activities and performing personnel with logistics duties. **(5 Marks)**

ANSWERS

a. Reasons for Monitoring Logistics Activities and Performing Duties

No.	Reason (Monitoring Logistics Activities)	Reason (Personnel Duties)
1	Ensure stock availability and avoid stock-outs	Proper management of deliveries and stock handling
2	Identify consumption trends for planning	Maintain accurate inventory records
3	Detect losses, wastage, or pilferage	Ensure timely reporting of shortages or issues

b. Indicate scope (3) logistics roles of the in-charge at the health facility. **(4 Marks)**

No.	Logistics Role
1	Supervise storage and inventory control

2	Ensure timely ordering and replenishment
3	Monitor stock utilization and reporting

c. Explain the importance of having a variety of funding sources (the government cannot meet all the requirements needed to achieve Commodity Security), including the purchase of products and the infrastructure needed to manage health services.

ANSWER

Having a **variety of funding sources** is important for achieving **Commodity Security** because the government alone cannot adequately finance all health commodity needs and the systems required to manage them. The importance includes:

1. **Ensures continuous availability of commodities**
Multiple funding sources help prevent stock-outs of essential medicines and supplies when government funds are delayed or insufficient.
 2. **Reduces financial burden on government**
Donor agencies, partners, NGOs, and private sector contributions share costs for procurement, storage, and distribution of health commodities.
 3. **Supports infrastructure development**
External funding can support warehouses, cold chain systems, transport, logistics information systems, and human resource training needed for effective health service delivery.
 4. **Improves sustainability and resilience**
Diverse funding protects the health system from economic shocks, budget cuts, or changes in government priorities.
 5. **Allows expansion and innovation**
Additional funding sources make it possible to introduce new products, technologies, and service delivery models.
 6. **Enhances equity and access**
Partner funding often targets vulnerable or underserved populations, improving overall access to essential health services.
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QUESTION 5 (No marks specified)

Assume that we are meeting the needs of the clients and addressing specific issues that impact Commodity Security at the client level, such as:

- Access
- Communities
- Method choice
- Availability and affordability
- Willingness to pay
- Sources used

Explain how these can be achieved, including the **political, policy, economic, social, and health environments**.

ANSWER

- **Access:** Distribute commodities close to communities; remove geographic barriers
 - **Communities:** Engage leaders, respect cultural preferences
 - **Method choice:** Offer options and counseling
 - **Availability & Affordability:** Manage stock; use subsidies or social marketing
 - **Willingness to pay:** Educate clients; fair pricing
 - **Reliable sources:** Strengthen supply chains and regulate suppliers
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QUESTION 6 (7 Marks)

Match List I to List II by writing the letter of the correct answer in List II against the item number of List I regarding the explanation of terms on Commodity Security (ICS) Framework.

List I

- A. Code used
- B. Capital (financial resources)
- C. Coordination
- D. Capacity to implement the system

E. Commercial Sector, Public Sector, NGOs, and Social Marketing

F. Checked demand and utilization

G. The various partners who are working together to achieve Commodity Security, including public sector, private sector, and donors

List II

1. Financial resources
2. Coordination
3. Capacity
4. Partners/Stakeholders
5. Supply chain implementation
6. Monitoring demand and utilization
7. Commodity Security framework code

ANSWER

QUESTION 6 – MATCHING SOLUTION (7 Marks)

List I	Correct Match (List II)
A. Code used	7 (Commodity Security framework code)
B. Capital (financial resources)	1 (Financial resources)
C. Coordination	2 (Coordination)
D. Capacity to implement the system	3 (Capacity)
E. Commercial Sector, Public Sector, NGOs, and Social Marketing	5 (Supply chain implementation)
F. Checked demand and utilization	6 (Monitoring demand and utilization)
G. The various partners who are working together to achieve Commodity Security, including public sector, private sector, and donors	4 (Partners / Stakeholders)

